

complaint

This complaint relates to the home insurance policy which Mr A obtained through Saga Services Limited, which was renewed by Mr C in his capacity as executor of Mr A's estate.

background

Mr A had insured his home through Saga for many years. After he passed away in 2010, Mr C and the solicitors dealing with his estate contacted Saga to advise it of the situation and seek to continue appropriate insurance cover. Saga was informed that Mr A's home would be unoccupied for the time being and, therefore, the policy continued and an appropriate endorsement was added to the policy. In particular, the endorsement set out that for escape of water claims to be covered, either the central heating boiler and water systems in the property had to be drained down or the heating had to be maintained at a certain temperature and the property checked on a weekly basis.

Mr C took the latter approach, keeping the heating at a constant temperature, checking the property and leaving keys with a neighbour who also agreed to monitor the house. The house remained unoccupied for some time and the insurance policy was renewed in 2011.

In February 2012 there was an escape of water due to a fault with the boiler. Although loss adjusters were initially appointed, the claim was subsequently rejected as Saga advised that the policy did not provide cover for damage resulting from an escape of water. Saga stated that it was standard procedure to include the unoccupied property endorsement on a policy for only one year and on subsequent renewals this endorsement had been removed from the insurance documents.

Some time after the escape of water, the sale of Mr A's property completed but a discount of £7,500 was applied to the sale price to take account of the water damage.

Mr C raised a complaint with Saga, citing the fact that Saga did not draw to his attention the change in insurance cover which meant that claims for escape of water were no longer covered. Saga responded that the changes in policy terms had been sufficiently brought to the attention of Mr C. Therefore, Mr C made a complaint to this service.

Our adjudicator reviewed the case but an agreement could not be reached and so this case has been passed to me for my consideration.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I have noted the chain of events set out by Mr C and by Saga. Saga was informed by Mr C that the property would not be occupied going forwards and it made appropriate provisions on the insurance cover provided, including the addition of the endorsement for unoccupied properties.

The approach of this service is to assess whether or not changes in policy terms have been clearly communicated to a policyholder. In particular, where changes are onerous or alter the policyholder's cover in a material way, those changes should be highlighted to the policyholder by the insurer.

Saga has said that it is '*standard procedure to remove [the unoccupied property] endorsement...at the first renewal of a policy and to advise that the standard policy terms and conditions will now apply*'. I have reviewed the documents sent by Saga for the 2010 amended policy and the 2011 renewal. Nowhere on the face of the renewal documents, or the accompanying covering letter and 'Important Notice', does it make clear that there will be a change in the cover provided so that the endorsement will no longer apply. I can find no evidence that this change to standard policy terms was communicated – clearly or otherwise – to Mr C or Mr A's estate's solicitors. Moreover, whilst it may be standard procedure for Saga to remove this endorsement at renewal, I am not persuaded that this is well known industry standard procedure such that Mr C should have been otherwise aware of it.

I am satisfied that the changes to the cover in this case were not clearly communicated to Mr C. I note in particular that Mr C continued in 2011 and into 2012 to adhere to the terms of the endorsement that Saga had applied to the 2010 policy for an unoccupied property, by maintaining the temperature in and monitoring the property. I am satisfied that Mr C was not aware that the relevant endorsement was no longer applicable and I am satisfied that he would have taken such steps to comply with its terms had he been aware.

I am also of the opinion that, in this case, insurance cover in the event of an escape of water in an unoccupied property was certainly material to the cover which Mr C sought for the property. Mr C had specifically informed Saga, not only when Mr A passed away but at the time of subsequent renewals, that the property was unoccupied. If the special terms of the endorsement that related to those circumstances were only going to be in place for one year, that should have been made clear and highlighted to Mr C in 2010 or, failing that, at the point of renewal in 2011.

Saga's actions placed Mr C in a position of potential disadvantage, both by removing the escape of water cover endorsement and by failing to notify him sufficiently of this. It is clear that Mr C's intention to this point had been to insure Mr A's property whilst dealing with his estate and that he sought to comply with the conditions of that insurance diligently (in particular, the heating requirements in the unoccupied property endorsement). The fact that he renewed the policy and continued to comply with the endorsement requirements also persuades me that he intended to fully protect the property before any sale and whilst it remained unoccupied.

I am satisfied that, on balance, had Mr C been aware that the cover offered by Saga after renewal excluded escape of water claims, he would have considered his options and made other arrangements, such as alternative insurance including escape of water cover. I acknowledge that it is not possible to conclude that Mr C would definitely have sourced and taken out alternative insurance that included escape of water cover, or indeed what that alternative insurance may have cost. However, I do consider him to have been put at a disadvantage by Saga's failure to highlight the change in the policy cover such that he could have made alternative arrangements, which I am persuaded he would have done.

I am also satisfied that these arrangements would have meant that either the escape of water would not have happened or, if it did, there would have been cover for it in place. As such, I can only conclude that Mr A's estate suffered a loss due to Saga's error in not highlighting the change in policy terms.

my final decision

My final decision is that I uphold this complaint. I require Saga Services Limited to pay £7,500 to the estate of Mr A, plus interest at a simple rate of 8% from the date of loss to the date the payment is issued. I make no other award.

Helene Pantelli
ombudsman